



LOOKING AHEAD Satyanarayana Chava, CEO, Laurus Labs

Key Highlights

- ❶ Laurus Labs plans to invest up to ₹1,700 crore before the end of FY23 to boost its capacity in biotechnology and contract development
- ❷ Under Satyanarayana Chava, Laurus Labs aims to become a research-driven manufacturing company in 15 years
- ❸ The company has grown from a turnover of ₹1,900 crore in FY17 to ₹4,769 crore in FY21
- ❹ Laurus Labs is also building an abbreviated new drug application pipeline for the US market

PHOTO BY KRISHNENDU HALDER

money on the ground, we can buy the companies to grow. However, our philosophy is organic growth. We want to build facilities and for that, we need to invest ahead of time.”

According to Tushar Manudhane, Research Analyst at Motilal Oswal Financial Services, Laurus Labs continues to strengthen its quarterly performance with better-than-expected Q3FY21 results. While the ARV (antiretroviral therapy) segment is the key growth driver currently, it is building additional levers such as contract manufacturing services on the biotechnology front, adding new dosage capabilities, and building an abbreviated new drug application pipeline for the US market.

“We have one of the largest research divisions in the pharmaceutical industry in APIs. But if somebody wants to measure our efficiency based on the number of products we develop, we might be the lowest in the quartile. We want to become a leader in the products we make, that’s our philosophy,” says Chava. Laurus Labs puts a lot of products for development, but also kills many if it realises it cannot become the leader in the segment. “We don’t want to be a fifth player or 10th player, we want to be first, second or third in the market share for that product,” says Chava.

V.V. Ravi Kumar, Executive Director and CFO, Laurus Labs, has known Chava for 27 years. “The past five years have been extremely promising under him. The company has grown from a turnover of ₹1,900 crore in FY17 to ₹4,800 crore in FY21. Profits, too, have increased 3.6 times. And it is important to note that amid all these, he keeps in mind the impact of his decisions on the 10,000 families associated with Laurus Labs,” says Kumar. FY21 has been the best year in the history of Laurus Labs even though it did not make any Covid-19 vaccine. “Hydroxychloroquine is the only drug we made, and it did not have significant revenue in FY21. All our revenues were registered through our regular products,” he says.

Kumar, who fondly refers to Chava as Dr Satya, shares that the CEO reserved 5 per cent of the company’s equity in 2006 for ESOPs. “Dr Satya loves to call himself the founder and first employee of the organisation rather than a promoter. As a founder and the first employee, he never held 50 per cent stock. He believes that after a certain [point], there is no value [of] money. His passion is the subject of Chemistry. Applying knowledge on a commercial scale is what makes him a successful leader,” sums up Kumar. **BT**

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